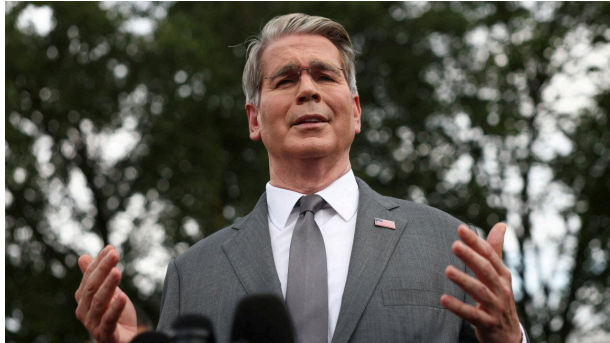


World in Brief: Iran threatens “devastating” response to America; Treasury yields climb



Photograph: Reuters

Iran vowed its response to any new American threats would be “devastating” after **Donald Trump** promised the strongest ever sanctions against the Islamic Republic, and penalties for countries providing “any type of lifeline”. Earlier, China, which buys most of Iran’s exported oil, warned that America’s threat of “economic warfare” would not work. Scott Bessent, America’s treasury secretary, is expected to give details of the sanctions on Monday.

Meanwhile, Mr Bessent’s attempt to tame **America’s bond market** faltered. Yields on 30-year Treasuries have reversed the decline that followed the treasury secretary’s announcement on Wednesday of [larger debt buybacks](#) in future. Mr Bessent has hinted that he may intervene again. But investors are increasingly concerned about inflation and government debt, which this week exceeded \$40trn for the first time.

Mr Trump said America will temporarily increase **ground-beef imports**, without triggering the tariff that would normally be charged. He claimed the meat will be sold at 25% below market prices, but did not explain how. The cost of ground beef [has risen in America](#), in part because drought has led to cattle shortages.

American ranchers said the policy would make it more difficult to rebuild herds.

Samsung Electronics, a South Korean [chipmaker](#), announced a package of dividends and share buybacks worth up to 110trn won (\$79bn). The move is designed to share its enormous gains from the AI boom with investors, who are concerned that vast capital spending by chipmakers will not pay off. On Wednesday SK Hynix, a rival, announced a share buyback worth 40trn won.

A man attacked and injured several people with a **sword** at a high school in **Sweden**. Police said the suspect had been detained. The attack follows a mass shooting that killed ten people at an adult-education centre last year—the worst in the country’s history. Sweden has also been rocked by a series of stabbings in schools, including in 2022 and in 2015.

An American district judge declared **Mike Jeffries**, the former boss of **Abercrombie & Fitch**, a clothing retailer, fit to stand trial on international sex-trafficking charges. The ruling overturns an earlier court decision in which Mr Jeffries was found “mentally incompetent”, after a psychiatrist determined that he suffered from Alzheimer’s disease. The trial is scheduled to begin in New York in October.

The **Panama Canal** Authority said that it would limit the number of ships transiting the waterway in September. This year’s [especially harsh](#) El Niño has caused a lack of rainfall, leading to lower water levels. Currently 36 ships pass through the canal, which accounts for 3% of global maritime trade, per day. That number will gradually be reduced from September 3rd, reaching 32 ships by September 15th.

Figure of the day: 2%, the share of global chocolate eaten in China. Now local chocolatiers are raising the bar. [Will China ever learn to love chocolate?](#)

US in brief: the USS Abraham Lincoln relieved



Photograph: U.S. Navy photo

The ***USS Abraham Lincoln*** left the Middle East, relieved by the ***USS George Washington***. The returning aircraft-carrier has been at sea for more than 250 days without a rest-and-recreation port call. It has made news for poor conditions and sailors' declining mental health, issues that were downplayed by Donald Trump. Relatedly, the publisher of *Stars and Stripes*, a military newspaper that reported many of those stories (and receives funding from the government), announced that he would step down, saying his "understanding of the value and mission of *Stars and Stripes*" differed from the Pentagon's.

The Cook Political Report, a much-watched prognosticator, moved the **Senate** races in **Iowa** and **Texas** from "Lean Republican" to "Toss-Up" in its forecasts. Both seats are open, having been held by Republicans. The Democrats need to hold onto all their seats and win at least four from the Republicans to take control of the chamber in November's midterms.

Michael Cohen released part of a softball interview with Mr Trump that will air in full on Sunday. The president's former lawyer and fixer had become a vicious critic, testifying in the hush-money trial that resulted in the first-ever felony conviction for a president. Mr Cohen has since changed his tune; at the end of his

interview he played a clip from Peaches & Herb singing “reunited and it feels so good”. Mr Trump told him “You’re going to go down as a man of courage.”

Investigators seized a laptop and a mobile phone from the home of **Eric Swalwell**, a Democratic former congressman from California. Several women have accused him of sexual misconduct, which he denies. Mr Swalwell was a high-profile critic of Mr Trump and ran for governor, before dropping out of the race and then resigning from Congress in April as a result of the accusations.

UN Secretary-General poll cuts the chaff



Photograph: Reuters

The UN Security Council holds a second non-binding poll on Friday to measure support for the seven candidates running to replace António Guterres as secretary-general at the end of the year. They market themselves as pragmatic dealmakers who can navigate great-power competition. The frontrunner is Rebeca Grynspan, a former vice-president of Costa Rica; close behind are Carolyn Rodrigues-Birkett and Rafael Grossi, two high-ranking diplomats. By revealing voting intentions, Friday's poll will narrow the field.

The candidates face a dilemma. Most countries want a leader who will speak up for the UN's founding charter, which prohibits wars of aggression and crimes against humanity. But the security council's permanent five members—America, China, Russia, Britain and France—each hold a veto over a candidate's selection, and may indicate in this ballot whether they will exercise it or not. The world is now [run by bullies](#). The Trump administration, Vladimir Putin's Russia and China may not tolerate condemnation of their actions.

Japan comes under more pressure to lift interest rates



Photograph: Getty Images

Japan's annual core inflation (which excludes fresh food) rose to 1.8% in July from 1.6% in June, partly because of the Iran war and higher import costs caused by the weak yen. The overall annual inflation rate was 1.9%. That is below the Bank of Japan's 2% target, but rising living costs are hurting the prime minister, Takaichi Sanae. According to a poll in July by *Yomiuri*, a national daily, 71% of Japanese are unhappy with the government's handling of inflation. Most analysts expect an interest-rate raise when the central bank meets in September.

Though it would increase Japan's enormous debt pile, that would help fix a more urgent problem than inflation: downward pressure on the yen. America and Japan [recently intervened](#) to strengthen the currency slightly, but low interest rates continue to weaken it. Scott Bessent, America's treasury secretary, has implicitly urged the BOJ to raise rates. He believes the bank will "do what is best".

Why English football is in league of its own

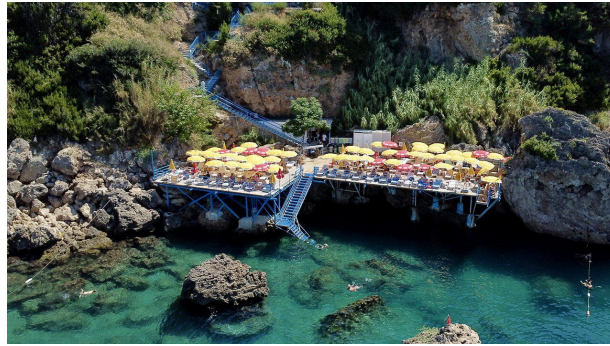


Photograph: Getty Images

The English Premier League, one of the world's most-watched sport competitions, returns on Friday after a three-month break. In that time its 20 teams have spent more than £2bn (\$2.7bn) on players. Nine appointed a new manager. Last week the sale of a 40% stake in Liverpool to a consortium including Jeff Bezos, Amazon's founder, valued the club at around £5bn.

All the cash speaks to [the league's dynamism](#). Its £6.8bn in revenue in the 2024-25 season trounces rival leagues on the continent, such as Germany's Bundesliga (£3.6bn). Exports, imports and competition explain its success. The Premier League built a global fanbase with international broadcasts before anyone realised there was a strong market for live football. It attracts some of the best coaches and players (15 clubs have non-English coaches). And with talent and money spread more evenly than in many other leagues, a competitive buzz sets it apart. Perhaps lethargic British industries could learn something.

The rising price of paradise



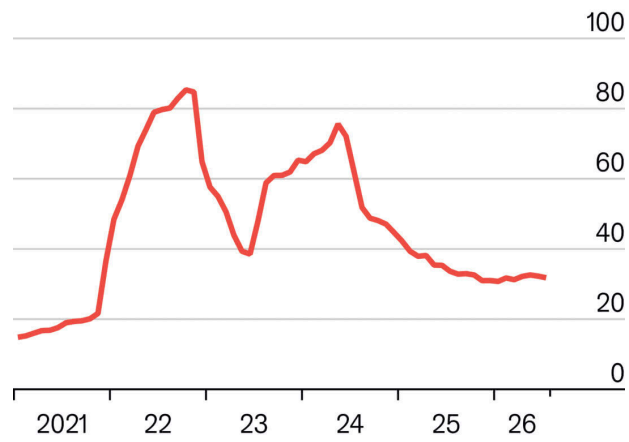
Photograph: Getty Images

Turkey's pitch to travellers was simple: enjoy sun-kissed beaches, classical ruins and good food at lower prices than at many other European destinations. Then geopolitics got in the way. The [war with Iran](#) has kept travellers away from the eastern Mediterranean. Disrupted air routes and higher fuel costs have made it more expensive to get there. The data show that foreign arrivals in Turkey fell by 4% in June compared with the same month last year. July's figures, published on Friday, will reveal whether the slump has continued.

Tourists who shell out for the journey are met with high local prices, the consequence of years of double-digit inflation. Some resorts are cutting rates to fill rooms before the end of summer. But holding prices down is difficult, especially for smaller operators because their costs have soared. In a country where tourism and related businesses account for around 12% of GDP, the sector's troubles risk a big problem for the economy. The industry could do with sunnier news.

Paradise cost

Turkey, consumer prices,
% increase on a year earlier



Source: Haver Analytics

Fava beans and a nice andante



Photograph: Getty Images

Hannibal Lecter loved classical music. He thought the “Goldberg Variations” by Johann Sebastian Bach good mood music for committing murder. Sir Anthony Hopkins, who played the cultivated cannibal on film, is also a composer. On Friday Decca, a record label, releases his second album, “Life is a Dream”. The Philharmonia Orchestra of London, conducted by Gustavo Dudamel, performs the music.

Sir Anthony, who has been writing music since he was a teenager, finds it a more “freewheeling kind of art form” than acting. His will not put you in mind of the grisly gourmet. Several pieces are inspired by fondness for his childhood and his family. “Bracken Road”, a movement from “1947: Suite for Solo Piano and Orchestra”, is a Gershwin-esque tribute to the landscape of south Wales, where he grew up. “And the Waltz Goes On” channels [the Viennese waltzes](#) of Johann Strauss II. Sir Anthony has a gift for writing tuneful and evocative music. The villain he played might prefer Bach.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Friday: Which phrase does Lady Macbeth utter in Shakespeare's play as she tries to rub imaginary blood off her hands?

Thursday: Which American air-force base in Nevada is the subject of many conspiracy theories about alien visitors?

*Scars are the price you pay for
success.*

Melvin Van Peebles